

Amana Takaful PLC

Interim Report

30 June 2023



STATEMENT OF FINANCIAL POSITION

AS AT	Notes	Group		Company	
		Unaudited as at 30.06.2023 Rs.	Audited as at 31.12.2022 Rs.	Unaudited as at 30.06.2023 Rs.	Audited as at 31.12.2022 Rs.
ASSETS					
Intangible Assets		185,224,620	174,990,104	29,016,082	29,011,509
Property, Plant and Equipment		123,403,080	90,585,828	46,127,267	41,203,417
Right of use of Lease assets	3	332,807,883	412,671,693	25,974,790	41,162,369
Deferred Tax Asset	13	13,501,368	15,874,369	-	-
Investment Property		150,550,000	150,550,000	-	-
Investment in Subsidiary		-	-	2,206,068,220	2,156,026,697
Financial Assets	4	7,492,565,454	7,056,732,879	1,500,026,735	1,377,904,670
Financial Assets - Unit Linked	5	2,680,120,344	2,425,246,987	-	-
Retakaful (Reinsurance) Receivables		348,523,820	368,471,084	192,439,198	197,567,498
Contribution (Premium) Receivable		1,418,641,403	1,356,628,068	841,980,368	1,021,764,011
Other Assets		454,825,127	395,043,398	135,105,276	127,418,263
Cash and Bank Balances	11	211,547,552	244,776,076	81,249,160	61,439,739
Cash and Bank Balances - Unit Linked	11	18,513,806	15,841,002	-	-
Total Assets		13,430,224,457	12,707,411,487	5,057,987,096	5,053,498,171
LIABILITIES					
Insurance Contract Liabilities - Non Life		3,250,294,276	2,555,353,272	1,220,664,001	1,068,902,980
Insurance Contract Liabilities - Family Takaful Fund		321,690,780	356,693,216	-	-
Insurance Contract Liabilities- Family Takaful Unit Linked		2,687,862,707	2,473,579,681	-	-
Employee Benefits		160,247,469	156,208,096	64,871,295	51,898,474
Subordinated Debt		303,367,767	413,764,648	331,825,009	464,704,354
Other Liabilities - Unit Linked		144,845,248	118,930,337	-	-
Other Liabilities		2,015,302,177	2,196,810,131	541,563,785	676,632,167
Lease Liability	3	164,775,769	206,129,829	26,175,605	43,266,252
Total Liabilities		9,048,386,194	8,477,469,211	2,185,099,695	2,305,404,227
SHAREHOLDERS' EQUITY					
Stated Capital	21	1,966,338,648	1,860,001,339	1,966,338,648	1,860,001,339
Other Reserves		596,259,574	882,593,581	33,541,361	33,541,361
Revenue Reserves		353,104,499	50,079,629	873,007,392	854,551,245
		2,915,702,721	2,792,674,549	2,872,887,400	2,748,093,944
Non Controlling Interest		1,466,135,542	1,437,267,727	-	-
Total Equity		4,381,838,262	4,229,942,276	2,872,887,400	2,748,093,944
Total Liabilities and Equity		13,430,224,457	12,707,411,487	5,057,987,096	5,053,498,171

The notes form an integral part of the Financial Statements.

We certify that the preparation and presentation of these Financial Statements comply with the requirements under Companies Act, No. 07 of 2007.

Signed

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M. Rinaz Niyas
Head of Finance

Signed for and on behalf of the Board

Signed

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Director

Colombo
7 August 2023

Signed

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Shehan Feisal
Chief Executive Officer

Signed

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Director

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE PERIOD ENDED 30 JUNE	Notes	Group			Company		
		Unaudited 2023	Unaudited 2022	Change	Unaudited 2023	Unaudited 2022 Restated	Change
		Rs.	Rs.	%	Rs.	Rs.	%
Gross Written Contribution (Premium)	6	5,285,814,529	4,259,281,189	24%	1,984,515,133	1,607,024,588	23%
Retakaful Contribution (Reinsurance Premium)		(976,681,962)	(1,118,442,086)	13%	(552,788,161)	(519,337,681)	-6%
Net Written Contribution (Premium)		4,309,132,567	3,140,839,104	37%	1,431,726,973	1,087,686,907	32%
Net Change in Reserve for Un-Earned Contribution (Premium)		(865,538,346)	(426,874,966)	103%	(232,832,022)	(118,488,648)	-97%
Net Earned Contribution (Premium)		3,443,594,221	2,713,964,138	27%	1,198,894,951	969,198,259	24%
Other Revenue							
Income from investments		546,741,169	255,341,008	114%	140,624,913	29,296,869	380%
Share of Profit of Equity accounted Subsidiaries		-	-	-	119,001,373	214,946,265	-45%
Other income		228,783,012	288,105,025	-21%	63,845,478	178,061,889	-64%
Total Revenue	7	4,219,118,402	3,257,410,172	30%	1,522,366,714	1,391,503,282	9%
Benefits, Losses and Expenses							
Takaful (Insurance) claims and benefits		(2,398,823,791)	(1,479,914,502)	-62%	(831,858,740)	(546,089,961)	-52%
Acquisition Cost (net of reinsurance commission)		(354,287,170)	(246,583,520)	-44%	(128,878,032)	(91,620,052)	-41%
Change in Family Takaful Contract Liability		(174,376,038)	(83,132,846)	-110%	-	-	-
Other Operating and Administration Expenses		(979,197,451)	(838,818,050)	-17%	(431,473,004)	(376,749,557)	-15%
Depreciation		(51,615,771)	(18,041,312)	-186%	(22,020,252)	(19,143,553)	-15%
Total Claims, Benefits and Expenses		(3,958,300,221)	(2,666,490,230)	-48%	(1,414,230,029)	(1,033,603,123)	-37%
Profit from Operations		260,818,181	590,919,941	-56%	108,136,685	357,900,159	-70%
Finance cost		(29,178,069)	(31,756,480)	8%	(24,901,873)	(26,369,277)	6%
Profit Before Taxation	10	231,640,112	559,163,461	-59%	83,234,812	331,530,882	-75%
Income Tax Expenses	12	(33,708,148)	(58,574,990)	42%	-	-	-
Net Profit for the Period		197,931,963	500,588,471	-60%	83,234,812	331,530,882	-75%
Attributable to:							
Equity holders of the parent		Rs 83,351,061	Rs 330,668,549				
Non-Controlling Interest		114,580,901	169,919,921				
		197,931,963	500,588,471				
Weighted Average Earnings Per Share		Rs 0.41	Rs 1.84	-78%	Rs 0.41	Rs 1.84	-78%
Diluted Earnings Per Share		0.34	1.34	-75%	0.34	1.34	-75%
Dividend per share							
Interim dividend paid per share		-	-	-	-	-	-
Final proposed dividend per share		-	-	-	-	-	-

OTHER COMPREHENSIVE INCOME

FOR THE PERIOD ENDED 30 JUNE	Group			Company		
	Unaudited 2023	Unaudited 2022	Change	Unaudited 2023	Unaudited 2022 Restated	Change
	Rs.	Rs.	%	Rs.	Rs.	%
Profit for the period	197,931,963	500,588,471	-60%	83,234,812	331,530,882	-75%
Change in Fair Value of Available for Sale Financial Assets	387,827,485	87,051,093	346%	4,181,185	1,488,243	181%
Share of Other Comprehensive income of Equity accounted Subsidiaries	-	-	-	(68,959,850)	709,506,102	-110%
Fair Value of Available for Sale Financial Assets Transferred to Policyholder's Reserve	7,738,387	(1,097,619)	-805%	-	-	-
Foreign Currency Translation Differences for Foreign Operations	(520,607,287)	1,206,090,681	-143%	-	-	-
	72,890,549	1,792,632,626	-96%	18,456,147	1,042,525,226	-98%
Total Comprehensive Income for the period	72,890,549	1,792,632,626	-96%	18,456,147	1,042,525,226	-98%
Attributable to:						
Equity holders of the parent	18,572,397	1,041,662,894				
Non-Controlling Interest	54,318,152	750,969,732				
	72,890,549	1,792,632,626				

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE QUARTER ENDED 30 JUNE	Group			Company		
	Unaudited 2023 Rs.	Unaudited 2022 Rs.	Change %	Unaudited 2023 Rs.	Unaudited 2022 Rs.	Change %
Gross Written Contribution (Premium)	2,669,509,649	2,277,810,270	17%	743,701,180	718,206,504	4%
Retakaful Contribution (Reinsurance Premium)	(401,064,109)	(575,425,428)	30%	(209,996,806)	(265,203,238)	21%
Net Written Contribution (Premium)	2,268,445,540	1,702,384,843	33%	533,704,374	453,003,266	18%
Net Change in Reserve for Un-Earned Contribution (Premium)	(542,554,064)	(258,821,500)	110%	11,830,854	(9,641,379)	223%
Net Earned Contribution (Premium)	1,725,891,477	1,443,563,343	20%	545,535,228	443,361,887	23%
Other Revenue						
Income from investments	294,212,891	135,494,611	117%	73,142,071	33,135,185	121%
Share of Profit of Equity accounted Subsidiaries	-	-	-	111,160,221	102,147,161	9%
Other income	109,638,719	137,593,344	-20%	26,200,011	79,826,088	-67%
Total Revenue	2,129,743,087	1,716,651,298	24%	756,037,530	658,470,321	15%
Benefits, Losses and Expenses						
Takaful (Insurance) claims and benefits	(1,163,858,746)	(841,994,785)	-38%	(424,285,912)	(271,550,412)	-56%
Acquisition Cost (net of reinsurance commission)	(150,515,642)	(83,938,519)	-79%	(47,497,889)	(40,570,545)	-17%
Change in Family Takaful Contract Liability	(100,692,969)	(43,220,399)	-133%	-	-	-
Other Operating and Administration Expenses	(474,939,161)	(452,893,280)	-5%	(192,579,938)	(182,819,139)	-5%
Depreciation	(25,279,983)	(3,640,514)	-594%	(11,248,284)	(9,571,777)	-18%
Total Claims, Benefits and Expenses	(1,915,286,500)	(1,425,687,496)	-34%	(675,612,022)	(504,511,873)	-34%
Profit / (Loss) from Operations	214,456,586	290,963,802	-26%	80,425,508	153,958,449	-48%
Finance cost	(13,035,589)	(16,773,129)	22%	(10,435,564)	(13,366,164)	22%
Profit / (Loss) Before Taxation	201,420,997	274,190,672	-27%	69,989,943	140,592,285	-50%
Income Tax Expenses	(29,353,261)	(28,577,852)	-3%	-	-	-
Net Profit / (Loss) for the Period	172,067,736	245,612,820	-30%	69,989,943	140,592,285	-50%
Attributable to:						
Equity holders of the parent	Rs 70,048,068	Rs 139,782,514				
Non-Controlling Interest	102,019,668	105,830,307				
	172,067,736	245,612,820				
Weighted Average Earnings Per Share	Rs 0.34	Rs 1.21	-71%	Rs 0.34	Rs 0.69	-50%
Diluted Earnings Per Share	0.28	1.00	-71%	0.28	0.57	-50%
Dividend per share						
Interim dividend paid per share	-	-	-	-	-	-
Final proposed dividend per share	-	-	-	-	-	-
	-	-	-	-	-	-

OTHER COMPREHENSIVE INCOME

FOR THE QUARTER ENDED 30 JUNE	Group			Company		
	Unaudited 2023 Rs.	Unaudited 2022 Rs.	Change %	Unaudited 2023 Rs.	Unaudited 2022 Rs.	Change %
Other Comprehensive Income						
Profit/(Loss) for the period	172,067,736	245,612,820	-30%	69,989,943	140,592,285	-50%
Change in Fair Value of Available for Sale Financial Assets	304,631,647	18,433,837	1553%	2,567,947	909,187	182%
Share of Other Comprehensive income of Equity accounted Subsidiaries	-	-	0%	(6,773,966)	266,829,508	-103%
Fair Value of Available for Sale Financial Assets Transferred to Policyholder's Reserve	3,710,963	1,397,882	165%	-	-	-
Foreign Currency Translation Differences for Foreign Operations	(253,183,551)	465,528,169	-154%	-	-	-
Total Comprehensive Income / (Loss) for the period	227,226,795	730,972,708	-69%	65,783,925	408,330,979	-84%
Attributable to:						
Equity holders of the parent	102,554,220	407,521,208				
Non-Controlling Interest	124,672,575	323,451,500				
	227,226,795	730,972,708				

GROUP STATEMENT OF CHANGES IN EQUITY

FOR THE PERIOD ENDED 30 JUNE

	Other Reserves			Revenue Reserves		Non Controlling Interest	Total Equity
	Stated Capital	Revaluation Reserve	Translation Reserve	Available For Sale Reserve	Policy Holder's Rserve	Accumulated Losses	
	(Rs)	(Rs)	(Rs)	(Rs)	(Rs)	(Rs)	(Rs)
Balance as at 1st January 2022	1,860,001,339	45,424,314	169,539,884	67,981,761	11,059,608	(440,676,168)	2,390,649,385
Net Profit for the period	-	-	-	-	-	330,668,549	500,588,470
Other Comprehensive Income							
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	47,878,101	-	-	87,051,093
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred (to)/ from Policyholders Reserve	-	-	-	-	(903,341)	-	(1,097,619)
Foreign Currency Translation Difference	-	-	663,349,875	-	-	-	1,206,090,681
Total Comprehensive Income	-	-	663,349,875	47,878,101	(903,341)	330,668,549	1,792,632,625
Dividend Distributed						(11,863,636)	(11,863,636)
Balance as at 30th June 2022	1,860,001,339	45,424,314	832,889,758	115,859,862	10,156,267	(110,007,619)	4,171,418,373
Net Profit for the period	-	-	-	-	-	(31,728,654)	(12,980,249)
Foreign Currency Translation Difference	-	-	4,279,509	-	-	-	7,780,926
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred (to)/ from Policyholders Reserve	-	-	-	-	5,093,710	-	6,189,198
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	48,944,307	-	-	84,997,361
Defined Benefit Plan Actuarial Losses	-	-	-	-	-	11,761,756	11,606,620
Total Comprehensive Income	-	-	4,279,509	48,944,307	5,093,710	(19,966,898)	97,593,856
Dividend Distributed	-	-	-	-	-	-	(39,069,953)
Total Changes in Ownership Interests	-	-	-	-	-	-	(39,069,953)
Balance as at 31st December 2022	1,860,001,339	45,424,314	837,169,268	164,804,169	15,249,977	(129,974,517)	4,229,942,276
Net Profit for the period	-	-	-	-	-	83,351,061	197,931,963
Convertible Debenture (Note 21.1)	106,337,309	-	-	-	-	-	106,337,310
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	213,305,117	-	-	387,827,485
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred (to)/ from Policyholders Reserve	-	-	-	-	6,368,693	-	7,738,387
Foreign Currency Translation Difference	-	-	(286,334,008)	-	-	-	(520,607,287)
Total Comprehensive Income	106,337,309	-	(286,334,008)	213,305,117	6,368,693	83,351,061	179,227,858
Dividend Distributed	-	-	-	-	-	-	(27,331,948)
Total changes in ownership interests	-	-	-	-	-	-	(27,331,948)
Balance as at 30th June 2023	1,966,338,648	45,424,314	550,835,260	378,109,285	21,618,670	(46,623,456)	4,381,838,262

COMPANY STATEMENT OF CHANGES IN EQUITY

FOR THE PERIOD ENDED 30 JUNE

	Stated Capital (Rs)	Other Reserves	Revenue Reserves		Total Equity Restated (Rs)
		Revaluation Reserve (Rs)	Accumulated Profit/ (Losses) Restated (Rs)	Available For Sale Reserve (Rs)	
Balance as at 1st January 2022	1,860,001,339	33,541,361	(237,521,616)	17,420,527	1,673,441,610
Net Profit/ (Loss) for the period	-	-	331,530,882	-	331,530,882
Share of Other Comprehensive income of Equity accounted Subsidiaries	-	-	709,506,102	-	709,506,102
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	1,488,243	1,488,243
Total Comprehensive Income	-	-	1,041,036,983	1,488,243	1,042,525,226
Balance as at 30th June 2022	1,860,001,339	33,541,361	803,515,367	18,908,769	2,715,966,836
Net Profit/ (Loss) for the period	-	-	(36,972,192)	-	(36,972,192)
Defined Benefit Plan Actuarial Losses	-	-	10,730,143	-	10,730,143
Net Change in Fair Value of Available-for-Sale Financial Assets	-	-	-	3,391,220	3,391,220
Share of Other Comprehensive income of Equity accounted Subsidiaries	-	-	54,977,937	-	54,977,937
Total Comprehensive Income	-	-	28,735,888	3,391,220	32,127,108
Balance as at 31st December 2022	1,860,001,339	33,541,361	832,251,255	22,299,990	2,748,093,944
Net Profit/ (Loss) for the period	-	-	83,234,812	-	83,234,812
Convertible Debenture (Note 21.1)	106,337,309	-	-	-	106,337,309
Share of Other Comprehensive income of Equity accounted Subsidiaries	-	-	(68,959,850)	-	(68,959,850)
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	4,181,185	4,181,185
Total Comprehensive Income	106,337,309	-	14,274,962	4,181,185	124,793,456
Balance as at 30th June 2023	1,966,338,648	33,541,361	846,526,217	26,481,175	2,872,887,400

CASH FLOW STATEMENT

FOR THE PERIOD ENDED 30 JUNE	Group		Company	
	Unaudited 2023 Rs	Unaudited 2022 Rs	Unaudited 2023 Rs	Unaudited 2022 Rs
Cash Flows from Operating Activities				
Contribution (Premium) received from customers	4,589,361,763	3,494,705,564	2,538,722,464	1,768,027,923
Retakaful (Reinsurance) Premium paid	(1,051,790,023)	(785,113,039)	(719,232,799)	(512,551,721)
Claims, Benefits and Expenses paid	(2,549,744,290)	(1,550,311,512)	(946,342,159)	(610,885,008)
Retakaful (Reinsurance) Receipts in respect of Claims	98,851,736	122,201,102	79,644,581	160,106,808
Cash paid to and behalf of Employees	(775,291,206)	(722,631,997)	(518,460,666)	(419,565,352)
Profits received from Investments and Other Income	443,790,237	322,852,041	63,845,478	29,296,869
Dividends received	109,188,416	40,438,477	33,405,714	14,500,000
Finance Cost paid	(29,178,069)	(31,756,480)	(24,901,873)	(26,369,277)
Other operating cash receipts/ (payments)	58,127,826	97,042,801	(321,743,167)	(250,040,715)
Cash Flow from/(used in) Operating Activities (Note A)	893,316,390	987,426,957	184,937,573	152,519,528
Gratuity Paid	(2,866,048)	(3,821,970)	(2,062,223)	(3,821,970)
Income Tax Paid	(33,708,148)	(58,574,990)	-	-
Net Cash Flow from/(used in) Operating Activities	856,742,193	925,029,997	182,875,350	148,697,558
Cash Flows from/(used in) Investing Activities				
Purchase of Financial Assets	(1,915,112,178)	(1,711,333,970)	(972,188,917)	(668,258,238)
Sale of Financial Assets	1,521,155,639	1,674,992,061	875,680,653	658,429,652
Purchase of Intangible Assets	(7,856,186)	(2,018,680)	(1,102,500)	(902,370)
Purchase of Property, Plant & Equipment	(55,355,094)	(11,549,651)	(9,188,793)	(6,683,030)
Net Cash Flow used in Investing Activities	(457,167,820)	(49,910,240)	(106,799,558)	(17,413,987)
Cash Flows from Financing Activities				
Repayment of Lease Facility	(34,126,599)	(19,255,797)	(20,728,080)	(9,047,304)
Conversion of Debenture	(106,337,309)	(75,000,000)	(106,337,309)	(75,000,000)
Stated Capital (Convertible Debenture)	106,337,309		106,337,309	
Net cash flows from financing activities	(94,864,261)	(120,619,433)	(20,728,080)	(84,047,304)
Increase/(Decrease) in Cash and Cash Equivalents (Note B)	304,710,112	754,500,323	55,347,712	47,236,267

NOTE A

Reconciliation of Operating Profit/(Loss) with Cash Flows from Operations

Profit from Operations	260,818,181	590,919,941	108,136,685	357,900,159
Share of Profit of Equity accounted Subsidiaries	-	-	(119,001,373)	(214,946,265)
Depreciation	51,615,771	18,041,312	22,020,252	9,654,650
Amortisations	4,343,869	21,545,318	2,016,313	4,032,626
Provision for Gratuity	9,045,434	13,498,854	2,750,001	5,500,000
Unrealised (Income)/Losses	26,149,066	(24,350,501)	-	-
(Increase)/Decrease in Debtors and Other Assets	(101,847,800)	(962,694,929)	177,224,929	(17,015,062)
Increase/(Decrease) Family Takaful (Long Term Insurance) Fund	174,376,038	(84,712,541)	-	-
Increase/(Decrease) in Unearned Contribution (Premium)	865,538,346	426,874,966	232,832,022	118,488,648
Increase/(Decrease) in Claims Provision	(170,597,342)	149,061,075	(81,071,001)	(31,198,790)
Increase/(Decrease) in Other Creditors	(196,947,104)	870,999,942	(135,068,382)	(53,527,160)
Finance Cost Paid	(29,178,069)	(31,756,480)	(24,901,873)	(26,369,277)
Cash Flows from/(used in) Operating Activities	893,316,390	987,426,957	184,937,573	152,519,528

NOTE B

Increase/(Decrease) in Cash and Cash Equivalents

Cash at bank and in Hand and Cash Equivalents	1,033,403,809	1,483,194,019	390,381,390	382,269,945
Cash and Cash Equivalents at the end of the period	1,033,403,809	1,483,194,019	390,381,390	382,269,945
Cash and Cash Equivalents at the beginning of the year	728,693,696	728,693,696	335,033,678	335,033,678
Increase/(Decrease) in Cash and Cash Equivalents	304,710,112	754,500,323	55,347,712	47,236,267

STATEMENT OF FINANCIAL POSITION
FAMILY TAKAFUL / LIFE INSURANCE SEGMENT - SUPPLEMENTAL

AS AT	Unaudited 30.06.2023 Rs.	Audited 31.12.2022 Rs.
ASSETS		
Intangible Assets	18,082,824	20,455,549
Property, Plant and Equipment	22,264,445	21,318,102
Right of use of Asset	13,948,062	11,954,352
Investment Property	150,550,000	150,550,000
Financial Assets	974,290,888	1,052,175,579
Financial Assets - Unit Linked	2,680,120,344	2,425,246,987
Contribution (Premium) Receivable	47,576,631	37,975,617
Other Assets	50,328,393	38,715,417
Cash and Bank Balances	36,704,468	46,507,026
Cash and Bank Balances - Unit Linked	18,513,806	15,841,002
Total Assets	4,012,379,865	3,820,739,628
LIABILITIES		
Insurance Contract Liability - Family Takaful Fund	321,690,780	356,693,216
Insurance Contract Liability - Family Takaful Linked Unit Linked	2,687,862,707	2,473,579,681
Employee Benefits	11,381,110	10,820,935
Finance Lease Liability	14,811,804	13,039,309
Subordinated Debt	103,486,827	122,612,347
Other Liabilities	156,367,859	181,248,494
Other Liabilities - Unit Linked	144,845,248	118,930,337
Total Liability	3,440,446,335	3,276,924,318
SHAREHOLDERS' EQUITY		
Stated Capital	500,000,000	500,000,000
Other Reserves	11,998,572	12,326,088
Retained Earnings	59,934,957	31,489,221
Total Equity	571,933,529	543,815,309
Total Equity & Liability	4,012,379,865	3,820,739,628

The above Long Term Insurance (Family Takaful) Balance Sheet is to be read in conjunction with the consolidated Statement of Financial Position.

NOTES TO THE FINANCIAL STATEMENTS

1. Figures in the Interim Financial Statements for the period ended 30th June 2023 are provisional and unaudited.

2. These Interim Financial Statements of the Company and Group have been prepared in accordance with Sri Lanka Accounting Standards (SLAS) prefixed both SLFRS (corresponding to IFRS) and LKAS (corresponding to IAS), promulgated by the Institute of Chartered Accountants of Sri Lanka (ICASL) and comply with the requirements of the Companies Act, No. 7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000.

The same accounting policies and methods of computation as stated in the Annual Report 2022 have been followed in preparation of these Interim Financial Statements except for the below,

i) Application of Equity Accounting for Investment in Subsidiaries in Separate Financial Statements

The Company has voluntarily changed its accounting policy for investments in subsidiaries in Separate financial statement from Cost model to Equity Accounting with effect from 31st December 2022 in compliance to LKAS 27 Paragraph 10.

As per LKAS 8, Company will adjust the opening balance of each affected component of equity for the earliest prior period presented and the other comparative amounts disclosed for each prior period presented as if the new accounting policy had always been applied.

2.1 Comparative information has been re-valued/re-classified and restated where necessary, to confirm to the current period recognition, measurement and presentation.

3. Right of Use Lease Asset

3.1 Right of Use Lease Asset AS AT	Group		Company	
	Unaudited 30.06.2023 Rs.	Audited 31.12.2022 Rs.	Unaudited 30.06.2023 Rs.	Audited 31.12.2022 Rs.
Balance as at 1st January	412,671,693	250,045,444	41,162,369	21,550,355
Additions & Improvements	5,906,813	58,023,472	-	53,067,167
Depreciation for the period	(32,887,286)	(70,093,274)	(15,187,579)	(33,455,153)
Exchange Gain/(Loss)	(52,883,336)	174,696,050	-	-
Closing Right of use lease asset as at 30th June	332,807,883	412,671,693	25,974,790	41,162,369

3.2 Lease Liability (Lease Creditor)

AS AT	Group		Company	
	Unaudited 30.06.2023 Rs.	Audited 31.12.2022 Rs.	Unaudited 30.06.2023 Rs.	Audited 31.12.2022 Rs.
Balance as at 1st January	206,129,829	123,837,659	43,266,252	22,426,056
Additions & Improvements	5,906,813	58,023,472	-	53,067,167
Interest Expense recognised in Profit or Loss	9,018,686	19,926,638	3,637,434	9,661,872
Settlement through lease payment	(34,126,599)	(67,397,613)	(20,728,080)	(41,888,843)
Exchange Gain/(Loss)	(22,152,960)	71,739,674	-	-
Closing lease Creditors at 30th June	164,775,769	206,129,829	26,175,605	43,266,252

4. Financial Assets

AS AT	Group		Company	
	Unaudited 30.06.2023 Rs.	Audited 31.12.2022 Rs.	Unaudited 30.06.2023 Rs.	Audited 31.12.2022 Rs.
Financial Assets at Fair Value Through Profit or Loss (4.1)	363,644,161	392,862,659	54,903,298	46,239,733
Available For Sale Financial Assets (4.2)	1,973,334,142	1,795,831,125	100,927,593	41,746,407
Loans & Receivables (4.3)	5,155,587,151	4,868,039,094	1,344,195,845	1,289,918,530
	7,492,565,454	7,056,732,879	1,500,026,735	1,377,904,670

AS AT	Group		Company	
	Unaudited 30.06.2023 Rs.	Audited 31.12.2022 Rs.	Unaudited 30.06.2023 Rs.	Audited 31.12.2022 Rs.
4.1 Financial Assets at Fair Value Through Profit & Loss				
Investments in Equity Securities	209,244,164	221,862,659	36,103,298	34,989,733
Investment in Bullion	154,399,997	171,000,000	18,800,000	11,250,000
	363,644,161	392,862,659	54,903,298	46,239,733
4.2 Available For Sale Financial Assets				
Investments in Equity Securities - Quoted	1,797,849,002	1,691,071,200	-	-
Unit Trust	174,960,140	104,234,925	100,402,592	41,221,407
Investments in Equity Securities - Unquoted	525,000	525,000	525,000	525,000
	1,973,334,142	1,795,831,125	100,927,593	41,746,407
4.3 Loans and Receivable				
Repurchase Agreements	1,928,492,609	1,597,745,775	611,220,587	465,438,580
Fixed Term Deposits	3,205,751,395	3,251,868,068	713,604,761	808,597,234
Advances to Company Officers	21,343,147	18,425,251	19,370,497	15,882,715
	5,155,587,151	4,868,039,094	1,344,195,845	1,289,918,530

NOTES TO THE FINANCIAL STATEMENTS

5. Financial Assets - Unit Linked

AS AT	Group		Company	
	Unaudited 30.06.2023 Rs.	Audited 31.12.2022 Rs.	Unaudited 30.06.2023 Rs.	Audited 31.12.2022 Rs.
Financial Assets at Fair Value Through Profit or Loss (5.1)	129,987,443	114,415,261	-	-
Available For Sale Financial Assets (5.2)	36,938,151	34,161,002	-	-
Loans & Receivables (5.3)	2,513,194,749	2,276,670,724	-	-
	2,680,120,344	2,425,246,987	-	-

AS AT	Group		Company	
	Unaudited 30.06.2023 Rs.	Audited 31.12.2022 Rs.	Unaudited 30.06.2023 Rs.	Audited 31.12.2022 Rs.
5.1 Financial Assets at Fair Value Through Profit & Loss				
Investments in Equity Securities	59,987,443	62,665,261	-	-
Investment in Bullion	70,000,000	51,750,000	-	-
	129,987,443	114,415,261	-	-
5.2 Available For Sale Financial Assets				
Unit Trust	36,938,151	34,161,002	-	-
	36,938,151	34,161,002	-	-
5.3 Loans and Receivable				
Repurchase Agreements	100,442,676	60,612,070	-	-
Fixed Term Deposits	2,412,752,073	2,216,058,654	-	-
	2,513,194,749	2,276,670,724	-	-

6. Gross Written Contribution (Premium)

FOR THE PERIOD ENDED 30 JUNE	Group		Company	
	Unaudited 2023 Rs.	Unaudited 2022 Rs.	Unaudited 2023 Rs.	Unaudited 2022 Rs.
6.1 Non-Life (General Takaful)				
Motor	1,052,322,345	903,224,589	966,442,109	800,883,385
Fire	516,298,019	537,396,474	252,037,217	201,501,816
Marine	376,744,615	433,328,514	193,402,147	206,693,089
Medical	2,566,814,231	1,591,573,032	440,436,500	285,692,522
Miscellaneous	239,388,774	287,849,899	132,197,160	112,253,775
	4,751,567,983	3,753,372,508	1,984,515,133	1,607,024,588
6.2 Long Term Insurance (Family Takaful)				
Unit Linked	499,944,532	467,132,976	-	-
Family Takaful	11,611,490	16,466,463	-	-
Mortgage & Group Family Takaful	22,690,524	22,309,242	-	-
	534,246,547	505,908,681	-	-
Total Gross Written Premium	5,285,814,529	4,259,281,189	1,984,515,133	1,607,024,588

7. Revenue

7.1 Revenue by Segment

FOR THE PERIOD ENDED 30 JUNE	Group		Company	
	Unaudited 2023 Rs.	Unaudited 2022 Restated Rs.	Unaudited 2023 Rs.	Unaudited 2022 Restated Rs.
Segment				
Amana Takaful PLC	1,522,366,714	1,391,503,282	1,522,366,714	1,391,503,282
Amana Takaful Life PLC	812,951,548	631,619,679	-	-
Amana Takaful (Maldives) PLC	2,039,567,227	1,467,093,476	-	-
Amana Global Ltd	954,066	1,037,668	-	-
Eliminations	(156,721,153)	(233,843,933)	-	-
	4,219,118,402	3,257,410,172	1,522,366,714	1,391,503,282

7.2 Revenue

FOR THE PERIOD ENDED 30 JUNE	Group		Company	
	Unaudited 2023 Rs.	Unaudited 2022 Rs.	Unaudited 2023 Rs.	Unaudited 2022 Restated Rs.
Gross written Contribution (Premium)	5,285,814,529	4,259,281,189	1,984,515,133	1,607,024,588
Less :				
Retakaful Contribution (Reinsurance Premium)	(976,681,962)	(1,118,442,086)	(552,788,161)	(519,337,681)
Net Written Contribution (Premium)	4,309,132,567	3,140,839,104	1,431,726,973	1,087,686,907
Net Change in Reserve for Un-Earned Contribution (Premium)	(865,538,346)	(426,874,966)	(232,832,022)	(118,488,648)
Net Earned Contribution (Premium)	3,443,594,221	2,713,964,138	1,198,894,951	969,198,259
Income from investments	546,741,169	255,341,008	140,624,913	29,296,869
Share of Profit of Equity accounted Subsidiaries	-	-	119,001,373	214,946,265
Other income	228,783,012	288,105,025	63,845,478	178,061,889
Total Revenue	4,219,118,402	3,257,410,172	1,522,366,714	1,391,503,282

NOTES TO THE FINANCIAL STATEMENTS

8. The Company has not done a valuation of the insurance contract liabilities Life(FamilyTakaful) by the consultant actuary for the period ended 30th June 2023.Valuation will be performed annually.

9. The Company has not done a Liability Adequacy Test (LAT) in respect of Insurance Contract Liabilities - Non-Life Fund as per SLFRS 4 - Insurance Contracts as at 30th June 2023. LAT will be performed annually

10. Profit/ (Loss) Before Taxation by Segment

FOR THE PERIOD ENDED 30 JUNE	Group		Company	
	Unaudited 2023	Unaudited 2022	Unaudited 2023	Unaudited 2022
Segment				
Amana Takaful PLC	83,234,812	331,530,882	83,234,812	331,530,882
Amana Takaful Life PLC	20,379,830	35,878,617	-	-
Amana Takaful Maldives PLC	280,316,307	422,062,559	-	-
Amana Global Ltd	116,250	(862,332)	-	-
Eliminations	(152,407,087)	(229,446,265)	-	-
Total	231,640,112	559,163,461	83,234,812	331,530,882

11. Cash and Cash Equivalents in Statement of Cash Flow

AS AT	Group		Company	
	Unaudited	Audited	Unaudited	Audited
	30.06.2023	31.12.2022	30.06.2023	31.12.2022
Cash and Bank Balances	211,547,552	244,776,076	81,249,160	61,439,739
Cash and Bank Balances - Unit Linked	18,513,806	15,841,002	-	-
Investment in Government Securities	803,342,450	1,123,559,812	309,132,231	331,314,895
	1,033,403,809	1,384,176,889	390,381,390	392,754,634

12. 12.1 Amana Takaful PLC is liable to income tax at 30% (2022 - 30%)

12.2 Amana Global Ltd is liable to income tax at 30% (2022 -30%)

12.3 Amana Takaful Maldives PLC is liable to income tax at 15% (2022 - 15%)

12.4 Amana Takaful Life PLC is liable for income tax at 30% (2022 - 30%)

13. Deferred tax assets, including those related to temporary tax effects of income tax losses and credits available to be carried forward, are recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be fully utilized. Deferred tax assets, if any, are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

Accordingly Amana Takaful PLC recognized taxable loss during the financial year 2023 is NIL and the recognised tax losses of which Deferred Tax Asset was not recognized in 2022 amounting to Rs.1,215,512,684/- will be carried forward for another five years.

14. The nature of related party transactions in the current period is similar to those reported in the Annual Report 2022.

15. There has not been a significant change in the assets pledged as disclosed in the Annual Report 2022.

16. Comparative figures have been restated wherever necessary to conform to the current periods presentation.

17.Contingencies

A contingent liability at a gross value of Rs. 365 million has been determined where, Amana Takaful PLC's liability on the retention after recovery of reinsurance is assessed at Rs. 33 million, if any. The said claims are subject to legal proceeding at the reporting date, the lawyers are of the view that these cases will be favourable to the Company.

The Group operates in the insurance industry and is subject to legal proceedings in the normal course of business. While it is not practicable to forecast or determine the final results of all pending or threatened legal proceedings, management does not believe that such proceedings (including litigation) will have a material effect on its results and financial position.

The Group is also subject to insurance solvency regulations in all the territories where it operates and has complied with all these solvency regulations. There are no contingencies associated with the Group's compliance or lack of compliance with such regulations.

18. No events have occurred since the reporting date that necessitates adjustments to or disclosure in the Financial Statements.

19.In terms of Direction for Identification and Treatment of One-Off Surplus issued by the Insurance Regulatory Commission of Sri Lanka (Direction # 16 – 20.03.2018), the Long-Term Insurance Business of the Company has generated a One-Off Surplus of Rs.28,963,821 as at 1st January 2016. The One-Off Surplus amount remaining after relevant additions and deductions is retained in the Policyholders Liability in the Long Term Insurance Fund

20.Related Implications of Increasing Foreign Exchange, Interest and Inflation Rates

Sri Lanka has been facing foreign exchange crisis with the prevailing economic situation in the country and the deterioration of foreign reserves is putting pressure on exchange rate to depreciate in the market. The direct exposure to foreign exchange rates of the Group is minimum due to the limited transactions carried out with foreign counter parties and the Group continues to monitor its effects on financial statements under various stressed scenarios.

Although interest rates and inflation have increased significantly during the last financial year, country experienced a decrease in interest rate parallel to the inflation decrease, from the final phase of 2022. The Group and Company, being in the Insurance sector, will have a positive impact from increased interest rates on investments while inflation will have a negative impact on expenses.

Sri Lanka was able to reach a preliminary agreement with the International Monetary Fund (IMF) for an Extended Fund Facility. The Fund Facility is intended to restore macroeconomic stability and debt sustainability, to unlock the growth potential in the economy. However, Sri Lanka is still in the process of analysing the impact of these structural reforms including debt restructuring and impact of the same is uncertain.

The Board continue to monitor the potential implications of these factors on the groups business activities, profitability, solvency and liquidity position and will take proactive action to meet future obligations and ensure business continuity.

21. Stated Capital as at 30th June 2023 is represented by shares in issue as given below:

	Unaudited 30.06.2023	Unaudited 31.12.2022
Number of shares as at		
Ordinary shares - Voting (Note 21.1)	203,630,643	180,000,130

21.1. Share movement

	Number of shares	Nature of Transaction
Opening as at 31.12.2022	180,000,130	
Additions	23,630,513	Conversion of Debenture
Closing	203,630,643	

22. Basic Earnings per Share is calculated by dividing the net profit for the period attributable to ordinary shareholders by the the weighted average number of ordinary shares outstanding during the period.

	Unaudited 30.06.2023	Unaudited 30.06.2022
Amount used as the Numerator		
Net Profit attributable to Ordinary Shareholders (Rs.)	83,234,812	331,530,882
Number of Ordinary Shares used as Denominator:		
Ordinary shares - Voting (One vote per Ordinary Share)	203,630,643	180,000,130

22.1 Diluted Earnings per Share is calculated by dividing the net profit for the period attributable to ordinary shareholders by the weighted average number of shares outstanding and dilutive shares during the period.

	Unaudited 30.06.2023	Unaudited 30.06.2022
Amount used as the Numerator		
Net Profit attributable to Ordinary Shareholders (Rs.)	83,234,812	331,530,882
Number of shares used as Denominator:		
Ordinary shares - Voting (One vote per Ordinary Share)	203,630,643	180,000,130
convertible shares	43,036,154	66,666,667
Total Shares	246,666,797	246,666,797
Diluted Earnings Per Share	0.34	1.34

23. Share Information

	Group		Company	
	30.06.2023 Rs.	31.12.2022 Rs.	30.06.2023 Rs.	31.12.2022 Rs.
Net asset value per share	14.32	15.51	14.11	15.27
Market price per share as at	11.00	12.20	-	-
Highest price per share for the period	12.30	14.00	-	-
Lowest price per share for the period	10.50	10.10	-	-

NOTES TO THE FINANCIAL STATEMENTS

Twenty five Largest Shareholders as at 30th June 2023

Name of Shareholder	No. of Shares	%
Seylan Bank Plc/Senthilverl Holdings (Pvt) Ltd	52,835,104	25.95
Mr. Sattar Kassim	30,861,752	15.16
Amana Bank Plc/Mr.Osman Kassim	30,500,000	14.98
Amana Bank Plc/Mr. Shafik Kassim	30,468,567	14.96
Amana Bank Plc	27,009,180	13.26
Mr. Osman Kassim / Mrs. K. Kassim	14,901,823	7.32
Aberdeen Holdings (Private) Limited	5,156,108	2.53
Falcon Trading (Pvt) Ltd.	2,861,302	1.41
Seylan Bank Plc/Jayantha Dewage	414,308	0.20
Mrs. Nabeela Haroon	270,000	0.13
Mr. Gajath Chrysantha Goonetilleke	256,031	0.13
Mr. Mohamed Hussain Mohamed Faizer / Mrs. F.R. Faizer	185,248	0.09
Mr. Amirally Lukmanjee	168,621	0.08
Mr. Kali Mudiyanselegedara Seyyadu Mohamed Razik	150,292	0.07
Mr. Wanniachchige Lal Thilakasiri Anandawansa	121,206	0.06
Commercial Bank Of Ceylon Plc/S.A.Gulamhusein	113,757	0.06
Mrs. Pattinideva Asoka Swarna Kanthie Beruwalage	100,604	0.05
Mr. Mohamed Sajjad Mawzoon	100,000	0.05
Mr. Arunasalam Sithampalam	99,179	0.05
Mrs. Khairunnissa Kassim	97,920	0.05
Mr. Thevamoorthy Ravi	90,000	0.04
Sampath Bank Plc/Mr. Abishek Sithampalam	78,605	0.04
Mr. Sugathadasa Ruwanpathirana /Mrs. V. Ruwanpathirana	77,824	0.04
Mr. Periyasaami Pillai Thevarajah	77,000	0.04
Mr. Sithambaram Pillai Jayakumar / Mrs. P. Meena	75,000	0.04
	197,069,431	96.78
Others	6,561,212	3.22
Total	203,630,643	100

Public Shareholding

	30.06.2023	31.12.2022
Float Adjusted Market Capitalisation (Rs.)*	2,183,101,305	2,023,165,552
Percentage of Shares held by the Public	97.46%	92.13%
Number of Public Shareholders	4654	4719

The Company Complies with the minimum public shareholding required under option 02 of section 7.14.1 (b) of the Listing

* Float Adjusted Market Capitalisation = Market Capitalisation X Public Holding Percentage

Directors' Shareholdings

	No. of Shares 30.06.2023	No. of Shares 31.12.2022
Mr. M. Zulficar Ghouse - Chairman	Nil	Nil
Mr. M.H.S. Kassim - Managing Director	10,780	10,780
Mr. Syed Rizwan Hussain	Nil	Nil
Ms.E. D. Wickramasuriya	Nil	Nil
Mr. Thilan Manjith Wijesinghe	Nil	Nil
Mr. Abdullah Kassim	Nil	Nil
Mr. Padmesh Sajjeewa Weerasekera	Nil	Nil

CEO's Shareholding

Mr. Ahmed Shehan Feisal - CEO	Nil	Nil
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CORPORATE INFORMATION

NAME OF THE COMPANY Amana Takaful PLC	REGISTERED OFFICE No. 660 - 1/1, Galle Road, Colombo 03, Sri Lanka
LEGAL STATUS Public Quoted Company with Limited Liability incorporated in Sri Lanka on 7th December 1998. Registered under the Companies Act, No. 07 of 2007 on 27th June 2007.	SUBSIDIARY Amana Takaful Life PLC No. 660 - 1/1, Galle Road, Colombo 03, Sri Lanka Amana Takaful (Maldives) PLC H. Mialani, Sosun Mogu, Male, Republic of Maldives Amana Global Limited No. 660 - 1/1, Galle Road, Colombo 03, Sri Lanka
COMPANY REGISTRATION NUMBER PQ 23	AUDITORS Ernst & Young Chartered Accountants
TAX PAYER IDENTIFICATION NUMBER(TIN) 134007958	CONSULTANT ACTUARIES - LONG-TERM INSURANCE Actuarial Partners Consulting Sdn Bhd Suite 17.02 Kenanga International Jalan Sultan Ismail 50250 Kuala Lumpur, Malaysia
STOCK EXCHANGE LISTING The shares of the Company are listed in the Second Board of the Colombo Stock Exchange, Sri Lanka in November 2006. Stock Exchange Code for Amana Takaful PLC shares is 'ATL'.	CONSULTANT ACTUARIES – GENERAL INSURANCE Actsure Lab (Pvt) Ltd 11/2, 1st Lane, Pagoda Road Nugegoda Sri Lanka
DIRECTORS Mr. M. Zulficar Ghouse - Chairman Mr. M.H.S. Kassim - Managing Director Mr. Syed Rizwan Hussain Mrs.E. D. Wickramasuriya Mr. Thilan Manjith Wijesinghe Mr. Abdullah Osman Kassim Mr. Padmesh Sajjeewa Weerasekera	REINSURANCE PANEL Swiss Reinsurance Company Ltd Labuan Reinsurance (L) Ltd, Labuan, Malaysia Asian Re Saudi Re Tunis Re Ocean Re Hannover Re Munich Re Score Re
SHARIAH ADVISORY COUNCIL Mufti M.I.M. Rizwe - Chairman Mufti Shafique Ahmed Jakhura - Member Ash-Sheikh Murshid Mulaffar- Secretary	SECRETARIES Managers & Secretaries (Pvt) Ltd
CHIEF EXECUTIVE OFFICER - ATPLC Mr. Ahmed Shehan Feisal	PRINCIPAL BANKERS Amana Bank PLC/Pan Asia Bank/National Development Bank/ Bank of Ceylon/Commercial Bank/Sampath Bank/Hatton National Bank /Nations Trust Bank/ Seylan Bank/MCB Bank
CHIEF EXECUTIVE OFFICER - ATLPLC Mr. Gehan Shivantha Rajapakse	
CHIEF EXECUTIVE OFFICER - ATM PLC Mr. Hareez Sulaiman	